

The Index Is Not the Market

The Nasdaq closed unchanged yesterday while two-thirds of American stocks fell; today is about which of those facts you trade.

THE READING

The Federal Reserve raised rates 25 basis points to 3.75–4.00 per cent, unanimously, and the move had been roughly 93 per cent priced. The Nasdaq Composite finished at 25,978.42, down 3.15 points, or 0.01 per cent. Underneath that number, 60.8 per cent of US issues fell against 36.3 per cent advancing, the equal-weight S&P lost 0.79 per cent against the cap-weighted 0.45 per cent, and the Dow shed 631.21 points as Goldman Sachs, Wells Fargo, Bank of America and Citigroup each fell more than three per cent. The two-year closed at 4.736 per cent, a fifty-two-week high and 86 basis points above the new funds midpoint. Gold settled higher before two o'clock and spot was two per cent lower by the evening.

WHAT WISDOM WOULD SAY

Alfred North Whitehead, in *Science and the Modern World*, called it the fallacy of misplaced concreteness: treating a useful abstraction as though it were the concrete thing it was abstracted from. He was writing about physics, but the error is the same wherever a summary is mistaken for what it summarises.

An index is an abstraction. The Nasdaq's 0.01 per cent is an accurate statement about a weighted arithmetic average and a false statement about the market it is meant to stand for. Whitehead's objection was never that abstractions are bad — you cannot think without them. It was that every abstraction is built for a purpose, carries the assumptions of that purpose, and stops reporting faithfully once the structure beneath it changes.

Yesterday the structure changed. A cap-weighted average describes a market that moves together. It describes poorly a market rotating out of banks and into semiconductors on the same afternoon. The flat print is not calm. It is two large opposite movements cancelling inside a formula that was never designed to tell you they happened.

THE RISK IT JUSTIFIES

It argues against reading a flat headline index as permission to add. The measurements that carried information yesterday were breadth, the equal-weight spread and the front end, and all three said the same thing. It argues against buying the semiconductor complex on a single supply-chain report while the Russell 2000 sits 0.41 per cent above its 2,847 floor on a bearish trend signal, and against treating the S&P at 7,551.81 — 13.6 per cent of a 7,521–7,747 band — as a level with much room beneath it. If you want exposure this morning, size it against the weakest index you own rather than the flattest.

What would change the answer is agreement: a session in which advancers exceed decliners while the index rises, or a two-year that falls back toward the 4.60 per cent it traded before the decision. Either would mean the average has begun describing the market again.

Which number today are you treating as the thing itself?